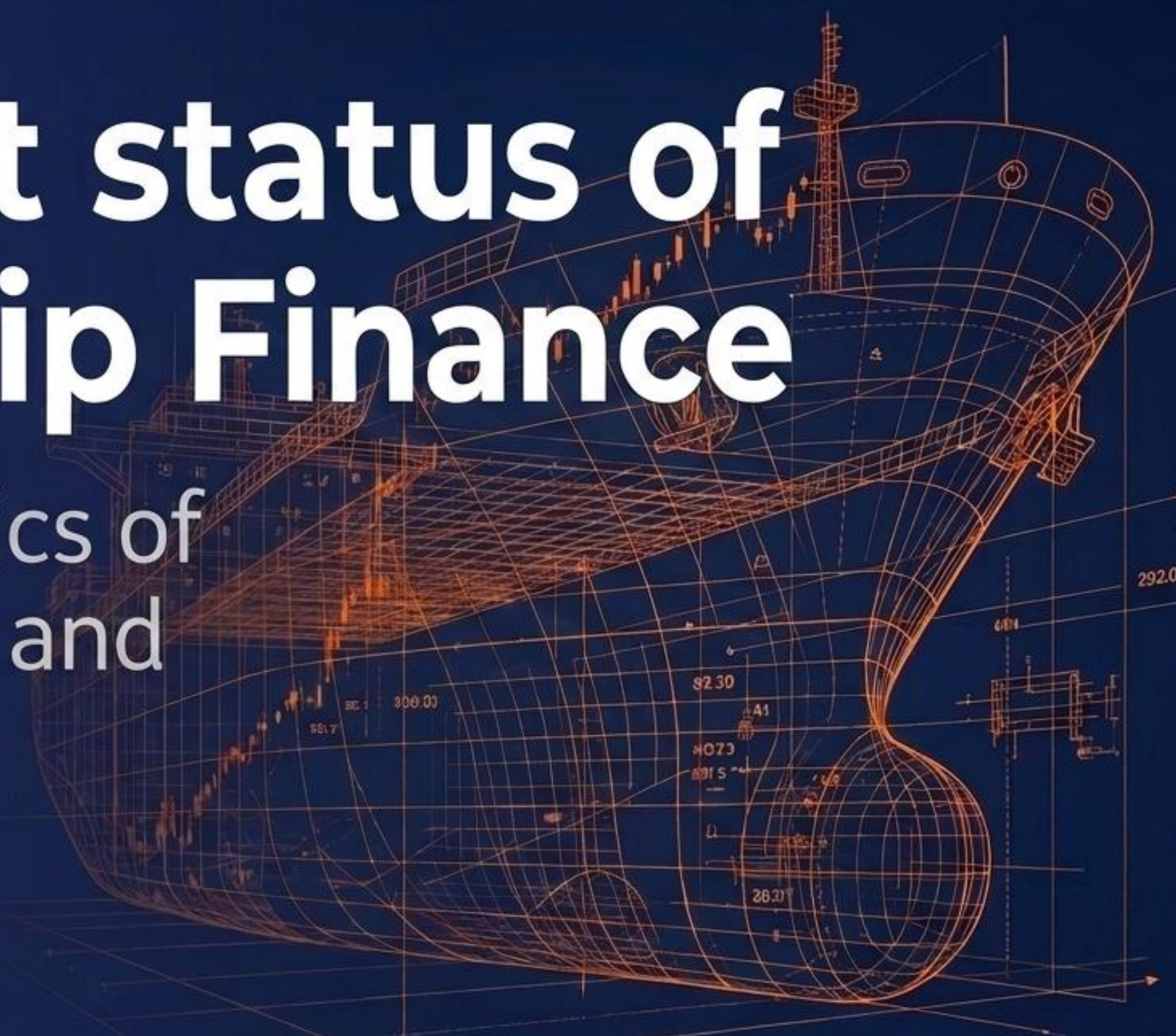


The current status of Chinese Ship Finance

A wireframe illustration of a ship's hull, overlaid with various financial charts and data points. The charts include candlestick patterns and line graphs, with numerical values such as 300.00, 292.00, 26.31, 40.73, 41, 32.30, 36.7, and 4.04. The background is a dark blue gradient.

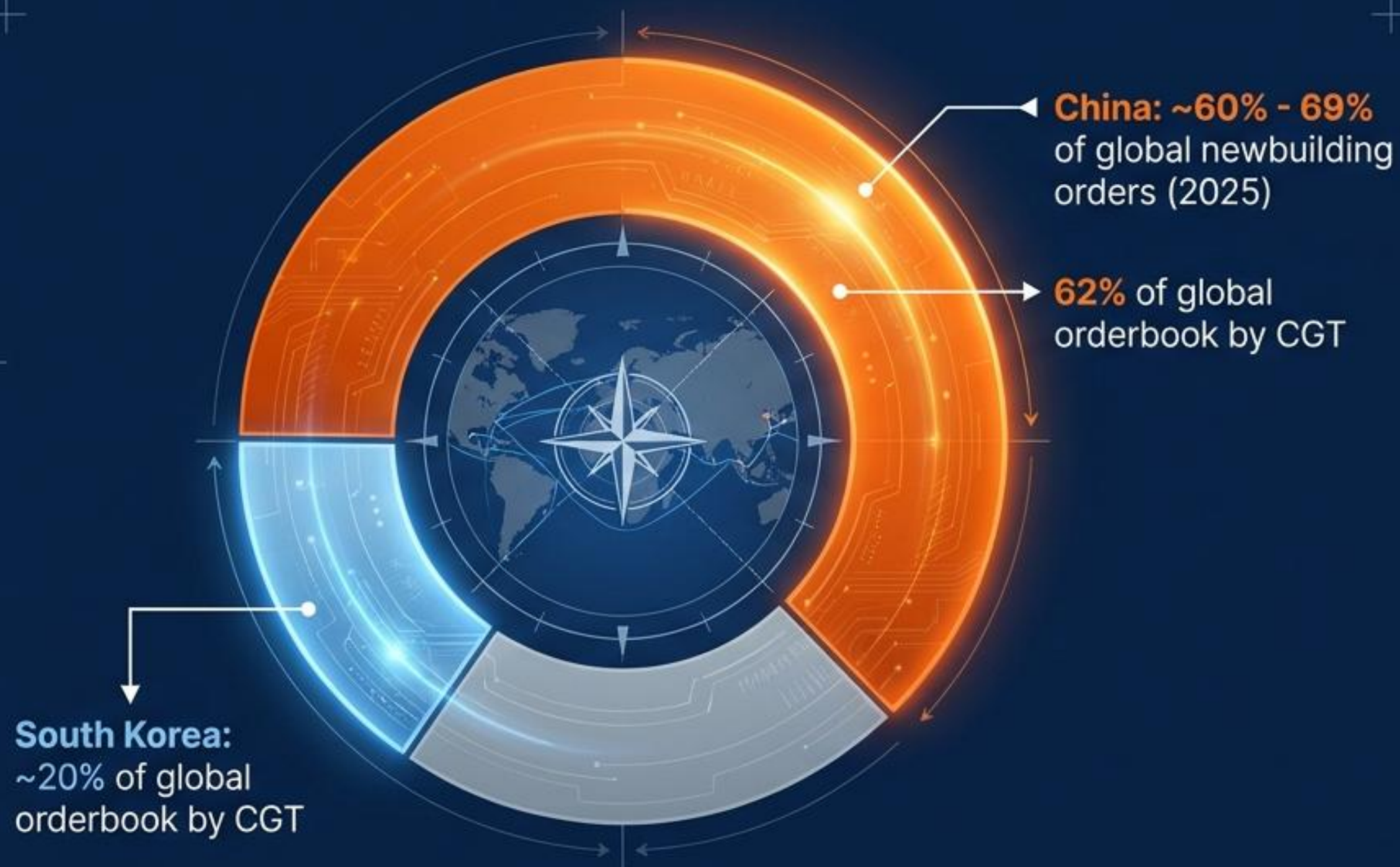
Decoding the Dynamics of Shipbuilding, Capital, and Structural Rigidity

Kane Chung, PhD

ING Bank N.V., Singapore Branch

KOMARINE CONFERENCE 2026

A Shifting Center of Gravity: Capturing the Global Orderbook



This 62% market share is not purely an industrial achievement—it is fundamentally a financial one.



Support from **Chinese lessors, policy banks, and commercial banks** has become the definitive competitive advantage for Chinese yards.



The Engine: A Self-Reinforcing Financial Flywheel



Chinese leasing and bank-linked financing secure the entire asset lifecycle.
Offerings include: vessel construction funding, pre-delivery support, delivery financing, and long-tenor post-delivery funding.

Basel IV and the Global Capital Vacuum

Top-Tier Only

The European Retreat: Basel IV implementation in Europe has made ship finance highly capital-sensitive. Traditional European banks remain active primarily for top-tier owners.

Mid-Tier & High LTV Vacuum

The Vacuum: Mid-tier, higher-LTV, and volatile credits are structurally pushed toward alternative finance, private credit, and leasing.

The Catalyst: Final Basel III reforms (Basel IV) improve risk sensitivity but reduce lending appetite.

Note: China's own new capital rules for commercial banks activated on 1 January 2024, reshaping domestic capital deployment toward leasing channels.

Alternative Capital & Chinese Leasing

The Architecture of Capital

Filling the Void: Solving Leverage, Tenor, and Execution

1. Unprecedented Leverage



60% - 100%

Chinese leasing offers 60% to 100% LTV for newbuildings, flexing based on structure and counterparty credit quality.

2. Extended Tenor



7 - 15 Years

Typical newbuilding tenors stretch far beyond conventional bank financings, matching long-term asset lifecycles.

3. Seamless Execution



Leasing subsidiaries smoothly support newbuildings and foreign owners, bridging gaps that traditional onshore commercial bank lending cannot cross.

Structural Diagnostics: Traditional Debt vs. Chinese Leasing

Parameter	European Mortgage Loan	Chinese Sale-and-Leaseback
Legal Ownership	Shipowner holds title	Lessor holds legal title
Primary Lender Role	Direct cross-border lender	Asset owner / Lease provider
Max LTV	Conservative (typically <60%)	Aggressive (60% to 100%)
Tenor Flexibility	Shorter, strict amortization	7 to 15 years, flexible amortization

Takeaway Note: Chinese banks still participate, but indirectly—acting as funding parents, account banks, or providing refund guarantee lines rather than direct senior debt.

The Load-Bearing Constraint: Regulatory Prohibitions



The Core Issue

China's financial authorities strictly prohibit direct bank loans to non-Chinese owners.

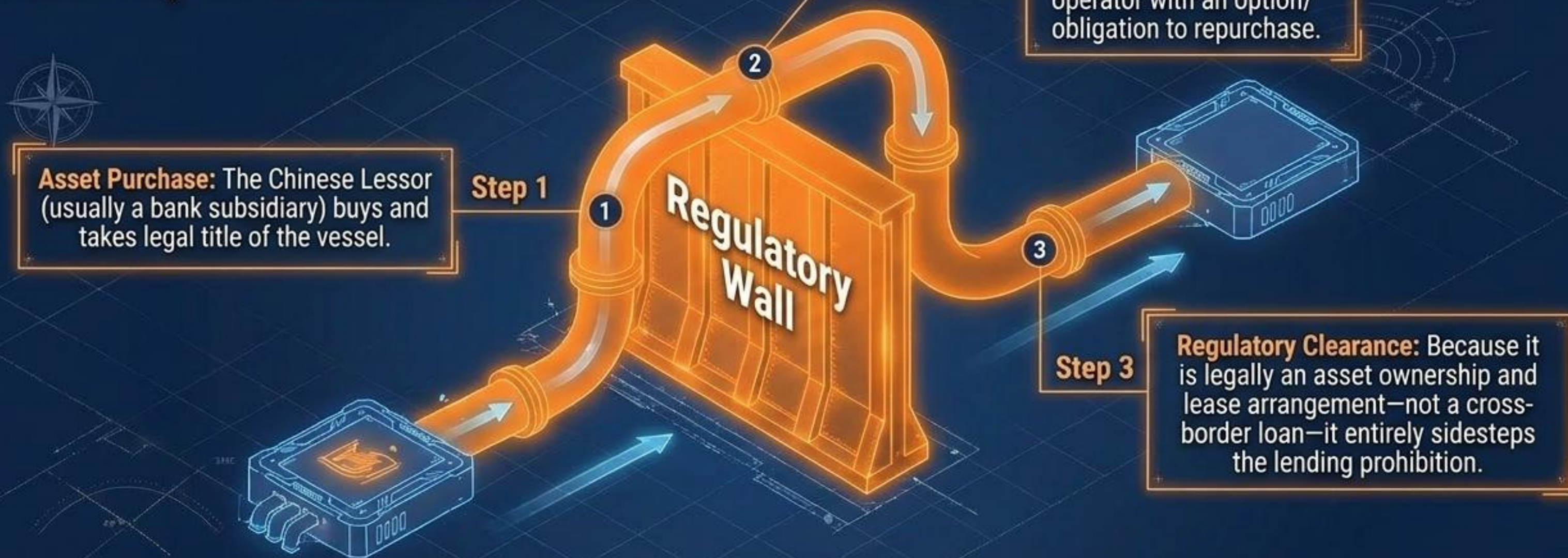
The Reality

A Chinese bank cannot simply originate a bilateral mortgage loan to a Greek, Norwegian, or Singaporean shipowner like a Western bank can. The direct cross-border lending channel domestically does not exist.

The Conclusion

The massive leasing ecosystem was born out of regulatory necessity, not just institutional design preference.

The Architectural Workaround: Anatomy of a Chinese Lease



Scale of the Workaround: This bypass has created a massive **\$148 billion Chinese leasing portfolio** spread across **80+ Chinese leasing houses** (22 of which manage foreign shipowner counterparties).

The Catch: The Inherent Rigidity of Asset Ownership



The Geopolitical Stress-Test: Ownership Optics vs. Operation



The Exit Bottleneck: Unwinding a Chinese Lease

**Desired Exits /
Refinancing**
(representing parts of
the \$148B portfolio)

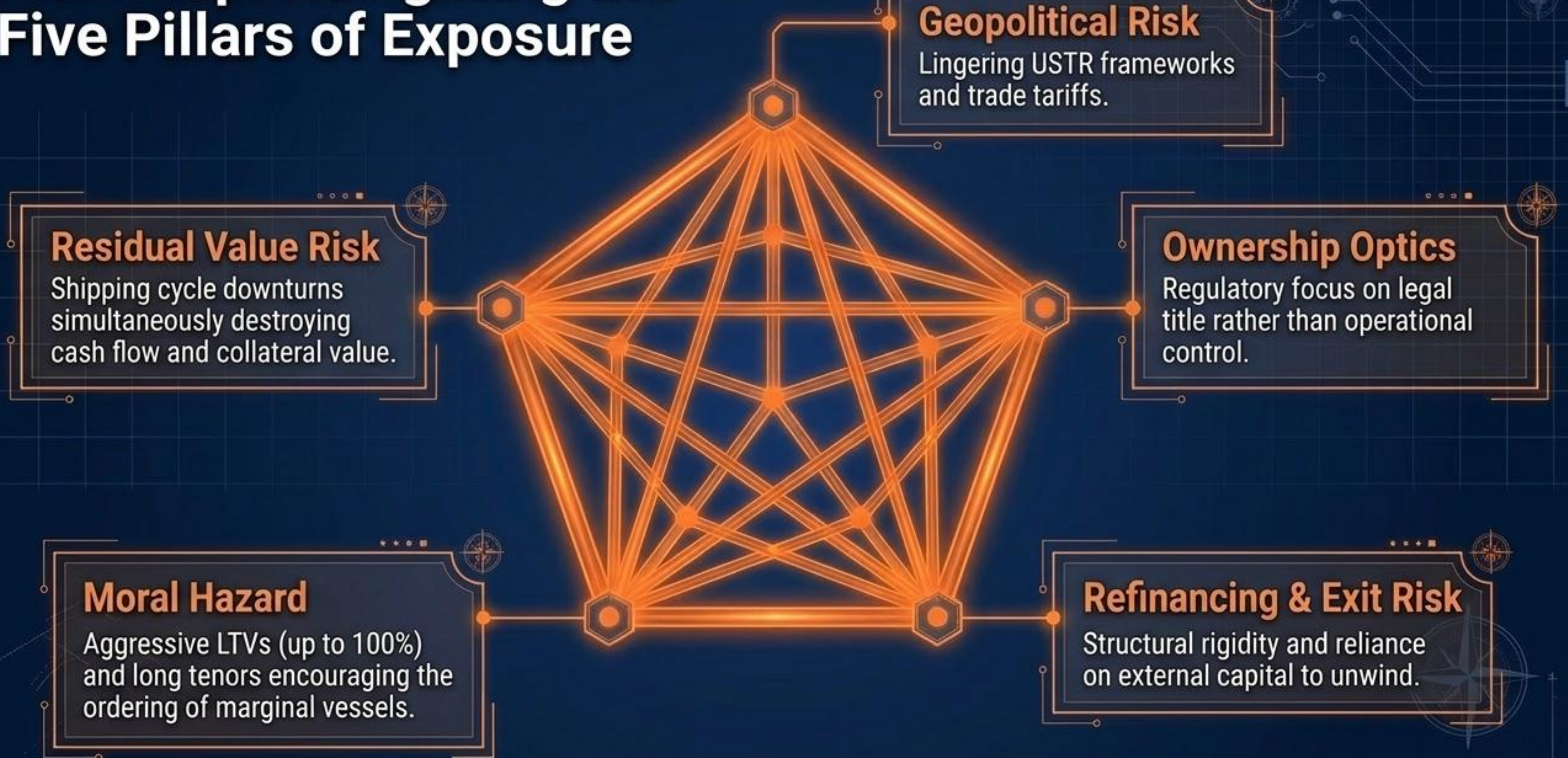
**External
Western
Refinancing**

- **External Reliance:** Owners must find a genuinely different, external lender to take out the Chinese lease entirely.
- **Western LTV Comfort:** Dependent on Western/regional bank appetite (LTVs generally capped around 60%, a steep drop from the 100% lease leverage).
- **Market Margins:** Viability depends on compressing margins and perfectly clean counterparty profiles.

**HK Subsidiary
Channel**

Note: Hong Kong subsidiaries can bypass mainland rules, but this is a narrow, deal-by-deal escape valve—not a systemic substitute capable of absorbing wholesale portfolio conversions.

Risk Map: Navigating the Five Pillars of Exposure



From Static Risk to the Dynamic Flag Assessment

Chinese lease exposure can no longer be treated as a static data point.
The market whipsaws with US-China policy signals.

Old Question:

Does this counterparty
have a Chinese lease?



New Question:

How realistically exit-able
is this lease?



KYC/Credit dashboard

Tenor & Amortisation

Length of remaining profile.



LTV Gap

Current lease LTV vs. Western bank refinancing comfort.



Lessor Identity

Flexibility of the specific leasing
house on early buyout or novation terms.



The Segmented Future of Global Ship Finance

Chinese leasing won't disappear—it will whipsaw with geopolitics.
The market will fracture into highly segmented capital pools.

Pivot Away

- US-trading vessels or those chartered to Western cargo interests.
- Listed shipping companies sensitive to investor perception.
- Energy-major chartered LNG, LPG, and tanker assets.
- Owners with alternative access to European, Japanese, Korean, or bond-market capital.

Remain Dominant

- China regional trades with limited U.S. exposure.
- Chinese owners and state-linked operators.
- Chinese-yard newbuildings possessing strategic industrial support.
- Projects requiring leverage/tenor unavailable in traditional markets.

Dynamic Capital for a Segmented World

Q&A and Discussions

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